IN THE COURT OF APPEAL OF THE DEMOCRATIC SOCIALIST REPUBLIC OF SRI LANKA

CA WRIT Application No.261/2018

In the matter of an application for mandate in the nature of writ of certiorari and prohibition under in terms of Article 140 of the Constitution of the Democratic Socialist Republic of Sri Lanka.

Randenigala Distilleries Lanka (Private) Limited.
No.295, Thalawathugoda Road,
Hokandara South,
Hokandara.

Petitioner

Vs.

1. Ivan Dissanayaka
Commissioner-General of Inland Revenue,
Department of Inland Revenue,
Colombo 02.

1A. Commissioner-General of Inland Revenue,
Department of Inland Revenue,
Colombo 02.

2. Kalyani Dahanayaka,
Former Commissioner-General of Inland Revenue,
Department of Inland Revenue,
Colombo 02.

3. Mallika Samarasekara,
Former Commissioner-General of Inland Revenue,
Department of Inland Revenue,
Colombo 02.

4. R.M.P.S.K. Rajapaksha,
Deputy Commissioner General of Inland Revenue,
Credit Management, Legal, Appeal and Objections,
Department of Inland Revenue,
Colombo 02.

5. R.K.C. Chithralatha,
Commissioner,
Special Audit Unit (L.T.U.),
Department of Inland Revenue,
Colombo 02.

6. H.M.W.C. Bandara,
Deputy Commissioner Unit 08,
Department of Inland Revenue,
Colombo 02.

7. T. Karunadasa,
Commissioner,
PAYE Special Audit Unit,
6th Floor,
Department of Inland Revenue,
Colombo 02.

8. U.G.U.N.R.K. Karunarathna,
Assistant Commissioner,
Department of Inland Revenue
Colombo 02.

9. J.A.R. Perera,
Commissioner,
LTU, 7 "B", Unit,
Department of Inland Revenue,
Colombo 02.

10. U.L. Uadaya Kumara Perera,
Commissioner,
Legacy LTU, 5th Floor,
Department of Inland Revenue,
Colombo 02.

11. Hon. Attorney General,
Attorney General Department,
Colombo 12.

Respondents

Before:	Dhammika Ganepola, J. Damith Thotawatte, J.
Counsels:	Dr. Sunil Coorey with Hemantha Boteju and Neminda Kariyawasam on the instructions of H.A.M. Dayaratne for the Petitioner. Manohara Jayasinghe, D.S.G. for the Respondents.
Argued:	22.11.2024, 24.07.2025, and 13.10.2025
Written submissions tendered on:	16.10.2019 (on Preliminary Objections), 08.09.2023 and 12.01.2026 by the Petitioner. 15.10.2019 and 20.01.2026 by the Respondents.
Judgement Delivered:	12.02.2026

Thotawatte, J.

Introduction

This application invokes the Writ jurisdiction of this Court under Article 140 of the Constitution to impugn a series of recovery notices issued by the Commissioner-General of Inland Revenue in respect of alleged arrears of Income Tax and Nation Building Tax for the years of assessment 2008/2009 and 2009/2010. The impugned notices, annexed to the Petition marked P20(1) to P20(23), P-21, P-22(A), P-22(B) and P-22(C), constitute the foundation of the recovery proceedings now challenged before this Court.

The Petitioner contends that the said recovery is tainted by antecedent procedural illegality, in that the statutory appeals preferred against the relevant assessments, as provided for under the Inland Revenue Act, were never lawfully or effectively determined. It is alleged that material procedural irregularities vitiated the appellate process, with the result that the subsequent recovery action is *ultra vires*, arbitrary, and liable to be quashed by way of *certiorari* and restrained by prohibition.

The Respondents state that the statutory appeals were duly fixed for inquiry but were dismissed due to the Petitioner's non-appearance, thereby removing any pending objections to the assessments. They further contend that, as no challenge was pursued within the statutory framework against those dismissals, and as such the Petitioner cannot at present invoke the Writ jurisdiction of this Court.

Factual Matrix

The Petitioner is a company engaged in the manufacture and sale of alcoholic beverages and was, at all material times, liable to pay Value Added Tax, Income Tax, and Nation Building Tax under the respective statutory regimes. In respect of the years of assessment 2008/2009 and 2009/2010, notices of assessment were issued by the Department of Inland Revenue in relation to all three taxes, whereupon the Petitioner invoked the appellate machinery provided by law by preferring statutory appeals in respect of each assessment.

The appeal relating to Value Added Tax was heard on the merits, with the active participation of the Petitioner, and resulted in a revision of the Petitioner's VAT liability. Separate dates were fixed for the hearings of the appeals relating to Income Tax and Nation Building Tax. The Respondents maintain, on the basis of contemporaneous records, that the Petitioner was duly notified of those hearings and that, notwithstanding notice and subsequent rescheduling, the Petitioner failed to attend. There is no material before the Court to establish that the notices issued on the Petitioner were not received by the Petitioner. Further, there is no material before the Court to establish that the Income Tax or Nation Building Tax appeals were suspended or deferred pending the determination of the Value Added Tax appeal, or that any arrangement to that effect was communicated.

In consequence of the Petitioner's non-appearance at the scheduled inquiries, the Petitioner's appeals relating to Income Tax and Nation Building Tax were dismissed. The Petitioner thereafter failed to pursue the further statutory remedy of an appeal to the Tax Appeals Commission with regards to the substantive objections within the time

prescribed by law, or to challenge the dismissal itself on the ground of being procedurally unlawful.

Upon the lapse of the statutory period for further appeal, the assessments relating to Income Tax and Nation Building Tax attained finality by operation of law. The Commissioner-General, acting in discharge of his statutory duty, had initiated recovery proceedings in respect of the taxes in default by issuing third-party notices to banking institutions under the relevant recovery provisions requiring payment of sums standing to the credit of the Petitioner in satisfaction of the outstanding liabilities.

Following the conclusion of the Value Added Tax appeal and the payment of the revised VAT liability, the Petitioner asserts that it understood the remaining Income Tax and Nation Building Tax liabilities for the relevant periods would be reviewed and finalised consistently with the turnover determined in the Value Added Tax appeal.

The present application was occasioned by the commencement of recovery proceedings by the Respondents on the basis that the original assessments had become final. The Petitioner challenges those recovery steps on the grounds of alleged procedural irregularity, denial of natural justice, and want of jurisdiction, and has accordingly invoked the supervisory jurisdiction of this Court under Article 140 of the Constitution.

In this application, (as per the amended Petition) the Petitioner seeks, inter alia:

a) the issue of a writ of *certiorari* quashing the notices issued by the Commissioner-General and other officers of the Department of Inland Revenue demanding and seeking to recover Income Tax and Nation Building Tax for the relevant periods;
b) the issue of a writ of *prohibition* restraining the Respondents from taking any further steps to recover the said taxes on the basis of the impugned assessments;

Writ jurisdiction is discretionary, not automatic. Courts may decline to issue writs in the nature of *certiorari*, *mandamus*, or *prohibition* if the applicant has failed to avail themselves of a suitable alternative statutory or procedural remedy.

The decisive inquiry is whether the alternative remedy is adequate, efficacious, and appropriate to redress the grievance. Accordingly, where the impugned decision is alleged to be *ultra vires*, a nullity, vitiated by jurisdictional error, or tainted by a breach

of natural justice, the Court of Appeal will not decline writ relief merely because a statutory remedy is available[1].

It is undisputed that a statutorily prescribed alternative remedy was available to the Petitioner and that such remedy was not availed of. The Petitioner nevertheless contends that writ relief ought to be granted notwithstanding this omission, on the basis that there existed acceptable reasons for the failure to pursue the statutory remedies.

The Petitioner's claim to writ relief rests upon the explanation offered for its failure to pursue the appellate remedies expressly provided under the Inland Revenue (Income Tax) Act and the Nation Building Tax Act. To justify this omission, the Petitioner advances four principal assertions: First, that the Income Tax and Nation Building Tax appeals were never determined; second, that the alleged dismissals of those appeals for non-appearance were not communicated; third, that there was an understanding that those appeals would be resolved by reference to the outcome of the Value Added Tax appeal; and fourth, that internal administrative lapses within the Department occasioned prejudice to the Petitioner. These assertions require examination both against the factual matrix disclosed by the material submitted and within the statutory framework governing tax appeals and the finality of assessments.

Analysis

Whether the Income Tax and Nation Building Tax appeals were lawfully determined or dismissed

The Respondents' case, supported by the available material, is that hearings were duly fixed in respect of the Income Tax and Nation Building Tax appeals, and that the Petitioner failed to attend despite notices being issued. As such, the appeals were dismissed for non-appearance.

The statutory scheme governing tax appeals contemplates not only determinations made upon an examination of the merits, but also the dismissal of an appeal where an appellant, after due notice, fails to appear or to prosecute the appeal. A dismissal so occasioned, even though not involving an adjudication on the merits, nevertheless constitutes a determination attracting the statutory consequences of finality, unless

[1] *WTL Automobiles (Pvt) Ltd and another* v. *Nadun Guruge, Commissioner General of Inland Revenue and Others* CA WRT 14-2020 CAM 29.08.2022 at p. 09. *E. S. Fernando* v. *United Workers Union and another*, [1989] 2 Sri LR 199 at p.204. *Kolombage Udara Sudarshanie Silva* v. *Subasinge Arachchige Dona Maria Reeta Pilaminahamy and others* CA Writ 0304/2019 CAM 20.07.2023 at p. 7-9. *Gulam Hussain Ali Asgar Shabbir and others* V *LOLC Finance PLC and LOLC Holdings PLC* CA WRIT 181/2024 CAM 05.04.2024 at p. 10.

challenged in the manner provided by law. While the Inland Revenue Act and the Nation Building Tax Act do not expressly employ the phrase "dismissal for default", the scheme of the legislation plainly proceeds on the footing that an appeal, once instituted, must be actively prosecuted by the appellant upon due notice.

In the present case, it is not disputed that the Petitioner did not invoke the statutory scheme afforded the Petitioner a further and specific remedy by way of an appeal to the Tax Appeals Commission within the time period prescribed by law following the dismissal of the Petitioner's appeals for non-appearance. Upon the expiry of the prescribed period without recourse to the Tax Appeals Commission, the assessments in question attained finality by operation of law. Viewed in that context, the contention that there was "no determination" is, in substance, an attempt to deny legal effect to an outcome recognised and contemplated by the statute.

Whether the Petitioner was duly informed of the alleged dismissals for non-appearance

The Petitioner contends that the dismissals of the appeals were never communicated and that it only became aware of them at a later stage. Even assuming, for the sake of argument, that there were deficiencies in the manner, timing or adequacy of communication, the statutory scheme does not permit the indefinite suspension of finality on the basis of alleged non-communication. A taxpayer who has invoked the statutory appellate machinery bears a continuing obligation to prosecute the appeals with diligence and to remain apprised of their status.

More significantly, upon becoming aware of the alleged dismissals, the Petitioner did not take steps to challenge those dismissals by invoking the appellate remedies provided by statute, nor has it sought a writ of *certiorari* to quash them. The absence of a direct challenge to the dismissal orders is fatal. This Court therefore finds that any alleged deficiency in communication does not, in the circumstances of this case, render the dismissals ineffective in law.

The belief that further hearing was unnecessary

There is no material before the Court to substantiate the Petitioner's contention that there existed any understanding or agreement that the Income Tax and Nation Building Tax appeals would be determined in accordance with the outcome of the Value Added Tax appeal, so as to render attendance at those hearings unnecessary.

In any event, only for sake of argument, without prejudice to the absence of any evidentiary foundation, it is assumed that such an understanding existed, it would not, of itself, carry legal consequence. Each taxing statute establishes a distinct charge,

provides for a separate assessment, and prescribes an independent appellate process. To treat a taxpayer's subjective belief or informal understanding as a sufficient justification for non-attendance at a duly notified appeal hearing would be inconsistent with the structure of the statutory framework governing the administration of revenue.

The legal status and effect of Document R10

Document R10, including its annexures, is relied upon heavily by the Petitioner as constituting a binding administrative decision acknowledging procedural lapses and directing revised assessments. Upon careful examination, this Court is satisfied that Document R10 is, in substance, an internal administrative communication reflecting deliberations and recommendations made within the Department of Inland Revenue. It does not amount to a statutory determination made in the exercise of appellate or quasi-judicial power, nor does it purport to set aside or vacate prior dismissals of appeals.

Crucially, Document R10 does not have the legal effect of reopening appeals that had already been dismissed, nor does it override the express finality provisions contained in the taxing statutes. Internal administrative deliberations, expressions of concern, or subsequent acknowledgments of difficulty within the Department do not, in law, undo or suspend the statutory consequences that have already attached to an assessment. The statutory scheme expressly provides that where the prescribed appellate remedies are not pursued within the time stipulated, the assessment attains finality by operation of law, independently of any later administrative reflection or reconsideration.

Whether the impugned recovery notices were issued without lawful authority

In the absence of any successful challenge to the assessments or the dismissal of the appeals, the Commissioner-General was under a statutory duty to proceed with recovery. The recovery notices impugned in this application, were issued pursuant to the statutory recovery powers conferred on the Commissioner-General once the assessments had become final by operation of law. Recovery proceedings are not independent administrative acts; they are the legal consequence of a final assessment. The issuance of recovery notices in such circumstances cannot be characterised as *ultra vires* or premature. This Court accordingly holds that the impugned notices were issued with lawful authority.

The present application seeks to quash only the recovery measures, without impugning the dismissal of the statutory appeals or the assessments that have thereby attained finality. To entertain such a challenge would be to permit a collateral attack on final

assessments and to allow writ jurisdiction to be used as a substitute for appellate remedies provided by statute and not pursued. Such an approach would defeat legislative intent, erode certainty in fiscal administration, and render the finality provisions futile.

For the forgoing reasons, this Court is compelled to hold that the explanations advanced by the Petitioner for its failure to exhaust statutory remedies cannot be accepted.

Whether the Petitioner is entitled to writ relief under Article 140

The writ jurisdiction of this Court is discretionary and is not intended to serve as a substitute for statutory appellate remedies deliberately provided by legislature. The present application seeks, in effect, to restrain recovery proceedings while leaving untouched the dismissals of the statutory appeals and the final assessments upon which such recovery is founded. This amounts to an impermissible collateral attack on concluded matters.

Conclusion

For the reasons set out above, this Court is of the view that the Petitioner has failed to establish any illegality, jurisdictional error, procedural impropriety, or violation of the principles of natural justice warranting the intervention of this Court in the exercise of its writ jurisdiction under Article 140 of the Constitution. The explanations advanced for the failure to exhaust the statutory appellate remedies cannot be accepted, and the impugned recovery proceedings have been initiated in accordance with the applicable statutory provisions.

In the circumstances, the application is dismissed with costs.

Judge of the Court of Appeal

Dhammika Ganepola, J.

I agree

Judge of the Court of Appeal